The Accountability Framework

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Note

Introduction

Since independence, the Central Bank of Armenia has operated with a formal accountability structure for monetary policy. Under the monetary aggregates regime of the early 1990s, and later under formal inflation targeting from 2006, the law required the CBA to present a quarterly "status report on the implementation of the monetary policy program" for the preceding year. This report described economic developments, reviewed policy actions, and explained how those actions supported the price stability objective. In broad terms, it reflected the FPAS Mark I way of thinking: policy was judged largely through the lens of baseline forecasts and the explanations that accompanied them.

The move to FPAS Mark II at the beginning of 2024—and the adoption of a prudent risk-management, least-regrets approach—created the opportunity to rethink this framework from the ground up. As a first step, the CBA designed a comprehensive communications and transparency framework, aimed at matching or exceeding global best practice in monetary policy openness. On top of this, a new accountability framework was developed, tailored specifically to the FPAS Mark II architecture and to Armenia's institutional and economic context.

1. Purpose of the Accountability Framework

Accountability reinforces credibility by demonstrating that:

- decisions are evaluated against clear objectives,

- mistakes are acknowledged and addressed,
- processes improve over time.

Under FPAS Mark II, accountability is continuous, not episodic. It is built directly into the 29-day policy cycle and the institutional communication strategy.

Comparative work on best-in-class accountability systems makes one point very clear: there is no single model that can simply be imported. Even the strongest frameworks in advanced economies have features that are not well suited to a risk-management approach or to a small open economy. Each central bank operates under a different legal mandate, governance structure, and economic environment. For the CBA, the starting point is therefore not to copy, but to distil common principles—clarity, regularity, and genuine self-scrutiny—and adapt them to the logic of least-regrets policymaking.

A further conceptual shift is important. Many existing frameworks treat accountability as synonymous with "policy evaluation," often framed as a comparison between actual outcomes and earlier baseline projections. This assumes that there is an identifiable "optimal" path and that deviations from a central forecast are, at least in part, policy mistakes. In a world of deep uncertainty, this is misleading. The core task of policymakers under FPAS Mark II is to recognize the key risks that threaten price and macroeconomic stability, weigh the associated trade-offs, and choose actions that minimize potential losses—given what was known at the time.

Seen in this light, accountability is not a narrow exercise in grading forecasts. Nor should it be a box-ticking ritual performed only because the law requires it. Instead, it is a choice: a standing commitment by the Board to explain, justify, and take responsibility for its actions as a public institution in a democratic society. Properly understood, accountability strengthens resolve. It supports the Board in taking firm and sometimes unpopular decisions when needed to protect price stability and safeguard public welfare.

On this basis, the CBA's new accountability framework has been designed as a structured, recurring process, anchored in law but animated by institutional culture. It rests on four pillars: the legal and institutional setup, the choice of evaluating body, the frequency of evaluations, and the content and focus of the accountability report.

2.Institutional Framework

A sound legal foundation is not strictly necessary for accountability, but in practice it is a powerful anchor. It helps transform accountability from an informal practice into a durable institutional habit. In the Armenian case, the legal and procedural underpinnings serve three main purposes:

- they codify procedures, standards, and methodologies, which helps ensure that reports are prepared in a consistent, replicable, and transparent way, rather than depending on personalities or changing preferences;
- they make clear that accountability is a regular part of the policy process, not an occasional formality; and
- they firmly embed accountability in the Bank's culture and long-term vision of good governance.

To this end, the CBA has adopted several elements as part of its formal framework:

- Provisions in the Law on the Central Bank requiring the publication of a regular monetary policy evaluation or accountability report, with a defined frequency (annual) and horizon (the preceding year).
- A detailed handbook for policy accountability, which sets out the procedures, scope, and minimum standards for each report. This document, published on the CBA website, helps ensure that accountability reports follow a common structure and that external audiences understand how they are prepared.
- An explicit commitment to accountability in the Board's "Statement of Long-Run Monetary Policy Objectives," the key public document describing how the CBA interprets and intends to fulfil its price stability mandate.
- Integration of the accountability framework into FPAS Mark II itself, so that evaluation is treated as an integral part of the policy cycle rather than a separate exercise.

Together, these elements help ensure that accountability is not left to discretion, but is an embedded feature of the CBA's policy architecture.

3.Evaluating Body

A central design question is who should perform the evaluation: an internal team, an external panel, or some combination of the two. International practice spans the full range. Some central banks rely on internal assessments prepared by staff and endorsed by the leadership; others commission regular external reviews from independent experts or parliamentary committees.

The choice involves two main considerations: the purpose of the report and the availability of suitable resources.

If the primary objective is to “rate” policy from the outside—judging whether the central bank made the best possible decisions ex post—an external body may offer greater perceived independence and more freedom to criticise. If, instead, the main objective is institutional accountability—explaining how decisions were made, what risks were considered, and how the central bank understood its mandate—an internal body will generally be better equipped. Internal staff have direct access to the full range of information, a much deeper understanding of the domestic economy, and intimate knowledge of the policy framework.

Resource constraints also matter. Large, advanced economies may be able to convene external panels of highly experienced monetary economists familiar with local conditions. Small and emerging economies often face a different reality. The pool of domestic experts may be limited, while external reviewers—even if highly qualified—require substantial time to learn the specifics of the economy and the framework. Repeating this process regularly can be costly and may still fall short of the level of insight held within the central bank.

For the CBA, the priority is to enhance institutional accountability within a prudent risk-management framework. For that reason, the evaluation is conducted internally and led by the Board, with the day-to-day analytical work carried out by the Monetary Policy Department. This arrangement has several advantages:

- it allows the Board to take responsibility for its own accountability, rather than treating it as something imposed from outside;
- it makes full use of the MPD’s knowledge of the framework, the Armenian economy, and the internal deliberation process; and
- it fits naturally within the broader human-capital model of FPAS Mark II, where teams rotate between production, back-up, and research roles.

Under the team-based structure described earlier, one of the MPD teams not engaged in the current production round is assigned responsibility for preparing the accountability report. For those staff, the report becomes a substantial research and development project, deepening their understanding of the framework and its application in real time. This helps avoid the common problem that internal evaluations are relegated to “spare time” and never receive sufficient attention.

Finally, given the novelty of the CBA’s risk-management framework, there are few external experts who fully understand both the global literature and the specifics of the Armenian regime. An internal evaluation therefore also has an educational role: it explains the logic of FPAS Mark II to external audiences while assessing how policy has been conducted in practice.

Frequency of Evaluations

International practice suggests that monetary policy evaluations are typically conducted every one to five years. The CBA has opted for annual accountability reports, published at the end of the first quarter and covering the preceding calendar year.

This relatively high frequency serves several purposes:

- it strengthens incentives for careful decision-making, since policymakers know their actions will be reviewed and discussed in a timely manner;
- it allows the evaluation to focus on how policy responded to risks as they emerged, rather than judging decisions long after the fact with information that was not available at the time;
- it creates a regular platform for dialogue with government, markets, and the public about monetary policy; and
- it helps the institution learn continuously from recent experience, rather than only in occasional large “stock-taking” exercises.

The annual rhythm also matches the broader FPAS Mark II cycle: scenarios, communications, transparency materials, and accountability reports form a coherent sequence, each informing the next.

4. Content of Evaluations

Most traditional accountability frameworks are built around the baseline forecast. They devote substantial space to comparing actual outcomes with earlier projections, treating forecast errors as a rough proxy for policy performance. In a regime centred on a single “most likely” scenario, this logic has some appeal.

FPAS Mark II takes a different path. The CBA does not publish a single baseline as the anchor of policy. Instead, it works with a taxonomy of risks and scenarios, and policy decisions are framed in terms of managing these risks under a least-regrets logic. The question is not whether a particular baseline turned out to be right or wrong, but whether the Board correctly identified the most relevant risks, weighed the trade-offs, and responded in a way that protected price stability and broader macroeconomic stability.

The content of the accountability report reflects this shift. Rather than grading the quality of a forecast, it focuses on explaining and evaluating how the Board thought about risks and how policy evolved in response. In broad terms, each report seeks to answer a set of core questions, including:

- What were the main developments, risks, and uncertainties facing the Armenian and global economy during the review period? How did the taxonomy of scenarios change over the year as new information emerged?
- Given this environment, how did the Board reach its decisions? What trade-offs did members face in applying a least-regrets approach, and how were these trade-offs communicated to the public?
- How did individual Board members' concerns evolve over time? What did their vote explanations and submissions reveal about their personal least-regrets thinking?
- How did markets respond to the decisions and communications? What happened to expectations for the policy rate, the yield curve, and other elements of the transmission mechanism?
- How well did monetary policy maintain progress toward the price stability objective, as reflected in inflation outcomes, inflation expectations, and measures of credibility?
- What issues and criticisms were raised by external stakeholders—government, media, analysts, and the public—and how can these concerns be addressed or clarified?

These questions give the accountability report a clear focus: not on whether the central bank "predicted" the future, but on how it navigated uncertainty and managed risks. The detailed structure, examples, and templates for answering them are laid out in the accountability handbook, which ensures that reports are comparable across years while leaving room for judgment and adaptation.

In this way, the accountability framework under FPAS Mark II becomes an extension of the policymaking philosophy itself. It encourages honest reflection, reinforces individual and institutional responsibility, and keeps the focus where it belongs: on how decisions, taken under uncertainty, serve the long-run goal of price stability and public welfare.

Literature & Further Reading

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Script

Hello everyone, I'm Susanna Grigoryan from the Central Bank of Armenia and a Level One student at the Global Forecasting School. In this session, I'll walk you through how the **Accountability Framework** works under FPAS Mark II, and how it differs from earlier approaches to evaluating monetary policy.

For many years, Armenia operated with a fairly standard FPAS Mark I–style accountability system. Under the monetary aggregates regime in the 1990s, and later under the formal inflation-targeting framework adopted in 2006, the law required the Central Bank to submit regular reports on the implementation of the monetary policy program. These reports described recent economic developments, summarized policy actions, and explained how those actions supported the price stability objective.

That approach was broadly in line with what many inflation-targeting central banks were doing at the time. Policy evaluation was centered around a **baseline forecast**: if outcomes were close to the baseline, policy was seen as broadly successful; if not, the discussion focused on forecast errors and what might have gone wrong.

FPAS Mark II changes the logic of policymaking in a fundamental way. We no longer build the entire framework around a single "most likely" scenario. Instead, we work with **risk distributions**, structured scenarios, and a least-regrets perspective. The key question for policymakers becomes: *given the risks and trade-offs we faced at the time, did we choose the policy path that minimized potential losses for the economy and society?*

Once you think about policy that way, traditional "forecast evaluation" no longer captures what good policymaking is about. A forecast can be wrong for many reasons, including shocks that nobody could reasonably have anticipated. What really matters is how the Board understood the risk environment and how it responded to that environment. This is the starting point for the CBA's new accountability framework.

With that in mind, the Central Bank decided to redesign its accountability system from the ground up. The goal was to move from a narrow, technical exercise to a **broader, more meaningful commitment to good governance**. Accountability here is not just about checking boxes or complying with legal obligations. It is about the Board and the institution taking responsibility for their decisions, explaining their reasoning, and showing how those decisions served the price stability mandate.

Of course, none of this can work without a solid institutional foundation. In Armenia, the accountability framework rests on several key pillars. First, there is a legal basis: the Law on the Central Bank requires the publication of an accountability or evaluation report on monetary policy at regular intervals, with a defined horizon for the review period. Second, there is a **handbook** that sets out the procedures, standards, and scope of each report. This handbook is important because it ensures consistency over time and makes it clear to outside observers what to expect from each evaluation. Third, the Board's **Statement of Long-Run Monetary Policy Objectives** explicitly embeds accountability as part of the broader framework for price stability. And finally, accountability is integrated directly into FPAS Mark II itself, rather than treated as something separate that happens once a year on the side.

A natural question is: who actually prepares these accountability reports? Around the world, there are two approaches. Some central banks rely on external expert panels to review policy; others conduct internal evaluations led by staff. Both models have advantages, but they serve slightly different purposes. External reviews can sometimes be more openly critical, but they often lack the very detailed understanding of the domestic framework and the local economy. Internal reviews, on the other hand, can be much more useful for day-to-day learning and for explaining the true context in which decisions were made—but only if the institutional culture supports honest self-assessment.

At the CBA, the primary goal of the accountability report is to **promote institutional accountability**, not to act as an external audit. For that reason, the evaluation is done internally. The Board leads the process, and the actual work is carried out by staff in the Monetary Policy Department. This structure takes advantage of the staff's deep knowledge of the Armenian economy and the FPAS Mark II framework, while also reinforcing the Board's own commitment to explain and justify its decisions.

The team-based structure of the MPD under FPAS Mark II makes this feasible. As you know from earlier sessions, the department consists of four teams of economists, rotating across production rounds, back-up support, and research and development. The accountability report is assigned to one of the teams that is not leading the current production round. That means the report does not interfere with the core forecasting and policy-preparation work, and at the same time, it becomes a valuable research and learning project for the team involved.

Another important design choice is the **frequency** of evaluations. International practice ranges from one to five years. The CBA chose to publish an accountability report **annually**, typically at the end of the first quarter, covering the conduct of policy over the previous calendar year. This higher frequency has several benefits. It keeps incentives sharp: policymakers know their decisions will be reviewed relatively soon. It also allows the evaluation to focus on how decisions were made in real time, rather than judging them many years later with the benefit of hindsight. And it provides a regular platform for dialogue with government, markets, and the public about how policy has been conducted.

Now let me turn to what the accountability report actually contains. Under FPAS Mark I, the natural starting point was forecast evaluation: how far did inflation, growth, and other variables deviate from the baseline? Under FPAS Mark II, that is no longer the central question. Instead, the report focuses on **risks, uncertainties, and policy responses**.

In practical terms, the report is structured around a few key questions.

First, it asks: *What were the main economic developments, risks, and uncertainties that Armenia faced during the review period?* This includes both global and domestic shocks, and it traces how the **taxonomy of scenarios** evolved over the year. New risks may have emerged; others may have faded. The report summarizes this evolution using the published Monetary Policy Reports as reference points.

Second, it asks: *Given these risks, how did the Board make its decisions?* Here the least-regrets logic is central. The report explains what trade-offs the Board considered, which scenarios or risk configurations were most prominent in their minds, and how those considerations shaped the chosen policy path. It also looks at how these choices were communicated at the time.

Third, the report examines **individual accountability**. Each Board member submits vote explanations during the year, and their views are recorded in attributed minutes and other transparency documents. The accountability report revisits these materials to show how individual concerns changed over time, which risks different members emphasized, and how their least-regrets thinking evolved as new information arrived.

Fourth, there is a section on **market reactions and transmission**. The report analyzes how expectations of the policy rate, yield curves, and other financial indicators responded to decisions and communications. The question here is not just whether markets were "right" or "wrong," but whether the central bank's communication helped guide expectations in a way consistent with its strategy.

Fifth, the report assesses how successful monetary policy was in supporting the price stability objective, with particular attention to **inflation expectations and measures of credibility**. These dynamic indicators are often more informative than point outcomes, especially in a small open economy exposed to large external shocks.

Finally, the report reviews the main criticisms or questions raised by external stakeholders—parliamentarians, market participants, journalists, academics, and citizens—and offers responses where appropriate. This is not about defending every decision, but about clarifying misunderstandings and using external feedback as a learning tool.

Putting all of this together, the accountability framework under FPAS Mark II does something quite different from traditional forecast-based evaluation. It does not ask, "Did reality match the baseline?" Instead, it asks, "Given the risks, trade-offs, and uncertainties we faced, did we act in a way that was responsible, transparent, and consistent with our mandate?"

In that sense, accountability becomes a **dynamic process**, closely linked to transparency, scenario-based analysis, and the least-regrets model of decision-making. It reinforces the culture of openness within the Bank, strengthens public trust, and supports the kind of decisive policymaking that is needed in a world where uncertainty is the rule rather than the exception.

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Thank you.